

Paradiem

The Morning Brief

JUNE 21, 2026

Strait Standoff

Iran reportedly declares Hormuz closed Saturday as Vance arrives in Switzerland for Sunday talks.

S&P 500 (THU CLOSE)	BRENT SPOT (REUTERS FRI)	BITCOIN (LIVE WKND)	HORMUZ STATUS	FEAR & GREED
\$746.74 · ↑0.78%	~\$80 · weekly ↓~8% per Reuters	~\$62.9K · below recent range	Iran reportedly declared closed Sat · CENTCOM says traffic flows	37 · Fear (CNN, Jun 19 read; drop fell back to Crypto at 23)

SECTION 01

Markets — Week in Review

A JUNETEENTH-COMPRESSED WEEK THAT CLOSED WITH A CHIP-LED RECOVERY CARRIES TWO WEEKEND CATALYSTS INTO THE MONDAY REOPEN — VICE PRESIDENT VANCE’S SUNDAY ARRIVAL IN SWITZERLAND FOR BÜRGENSTOCK TALKS PER MULTIPLE OUTLETS, AND IRAN’S SATURDAY STATEMENT REPORTEDLY DECLARING THE STRAIT OF HORMUZ CLOSED PER REUTERS COVERAGE OF MEHR — WHICH THE U.S. CENTRAL COMMAND REPORTEDLY DENIED, STATING TRAFFIC CONTINUES TO FLOW

Per the data drop, Thursday’s holiday-eve session closed with the Nasdaq proxy at \$740.62 (↑2.51%) and the S&P 500 proxy at \$746.74 (↑0.78%) on a chip-led recovery from the post-FOMC drawdown. Friday’s Juneteenth closure left two unresolved variables — the postponed Bürgenstock ceremony and the renewed Israel-Hezbollah truce — entering the weekend. Per Reuters, ABC, and Fox News coverage cited via the data drop’s headline run, both then evolved: Vice President JD Vance arrived in Switzerland early Sunday for technical-level talks alongside special envoy Steve Witkoff and adviser Jared Kushner, while Iran’s joint military command reportedly announced Saturday that the Strait of Hormuz was closed in response to continued Israeli operations in Lebanon and what it described as U.S. “bad faith” on truce commitments.

S&P 500 (THU CLOSE)	\$746.74 · ↑0.78% on day
NASDAQ (THU CLOSE)	\$740.62 · ↑2.51% on day
THU CHIP	CRDO ↑9.02% · MRVL ↑7.27% · TSM ↑6.94% · QCOM RIP ↑6.17%
DEFENSE DRAG (THU)	LMT ↓4.01% · GD ↓3.53% · peace-deal reciprocal trade
2026 MEDIAN DOT	3.8% · up from 3.4% in March per Fed SEP
BRENT SPOT (REUTERS FRI)	~\$80 · weekly ↓~8%
HORMUZ SATURDAY	Iran reportedly declared closure · CENTCOM says “Iran does not control the Strait”

THE FRONT-END REPRICING WEDNESDAY AND THE LONG-END HOLD THROUGH THE WEEK FRAME THE MONDAY REOPEN AS CARRYING THREE DISCRETE CATALYSTS INTO ONE SESSION — THE SUNDAY BÜRGENSTOCK OUTCOME, THE SATURDAY HORMUZ STATEMENT, AND THE MAY PCE PRINT THURSDAY JUNE 25 PER THE BEA CALENDAR — AGAINST AN AI-INFRASTRUCTURE BACKBONE THE CHIP RIP REINFORCED

Per CNBC coverage cited via the data drop, the 2-year Treasury yield rose by more than 14 basis points Wednesday on the SEP release before partially retracing Thursday, while TLT closed Thursday at \$86.75 (↑0.49% per the data drop). For FCI’s growth book, the Thursday chip rip — CRDO ↑9.02%, MRVL ↑7.27%, TSM ↑6.94%, QCOM ↑6.17%, NXPI ↑5.05%, AMD ↑4.86%, ADI ↑4.83% per the data drop

— layered onto the AI-infrastructure thesis through both a foundry-cycle read and the broader Vera Rubin platform context per NVIDIA's GTC Taipei coverage. With Friday closed and the weekend producing a position-symmetric set of inputs rather than a directional resolution, the Monday

tape may carry meaningful gap risk in either direction depending on how the Sunday talks land and whether the Saturday Hormuz statement translates into observable shipping disruption.

A closed Friday brackets a chip-led recovery and a weekend Hormuz statement — the Monday reopen carries the Sunday outcome from Bürgenstock as the principal variable. Avoid Erosion.

Geopolitics — Hormuz Re-Declared, Bürgenstock Resumes

PER REUTERS COVERAGE OF MEHR NEWS AGENCY, IRAN'S JOINT MILITARY COMMAND REPORTEDLY ANNOUNCED SATURDAY THAT THE STRAIT OF HORMUZ WAS CLOSED IN RESPONSE TO CONTINUED ISRAELI OPERATIONS IN LEBANON AND WHAT IT DESCRIBED AS U.S. "BAD FAITH" ON TRUCE COMMITMENTS — PER REUTERS CITING U.S. CENTRAL COMMAND SPOKESPERSON NAVY CAPTAIN TIM HAWKINS, THE U.S. REPORTEDLY RESPONDED THAT "IRAN DOES NOT CONTROL THE STRAIT OF HORMUZ" AND THAT TRAFFIC CONTINUES TO FLOW, WITH U.S. FORCES REPORTEDLY MONITORING THE SITUATION — PER REUTERS AND ABC COVERAGE, IRAN'S HIGH-LEVEL DELEGATION REPORTEDLY LANDED IN ZURICH ON SATURDAY AND VICE PRESIDENT JD VANCE REPORTEDLY ARRIVED EARLY SUNDAY FOR TECHNICAL-LEVEL TALKS AT THE BÜRGENSTOCK RESORT ALONGSIDE SPECIAL ENVOY STEVE WITKOFF AND ADVISER JARED KUSHNER

For FCI's energy and defense sleeves, the weekend produced one of the most position-symmetric setups Carson has anchored across recent briefs: the Iran statement reportedly reintroduces the discrete Hormuz tail risk into the physical-curve framework just as the equity-side talks structure reportedly proceeds in Switzerland. Per Reuters via Investing.com, Brent crude reportedly steadied near \$80 per barrel Friday with weekly losses near 8% on the prior resumption of Hormuz transits; the Saturday statement may reprice that physical-curve relief on the Monday open. For DVN (\$42.12, ↓1.08% Thu per the data drop), CVX (\$173.63, ↓2.22% Thu), VLO (\$236.30, ↓1.45% Thu), OKE (\$85.03, ↓0.64% Thu), and CNX (\$32.67, ↓0.52% Thu), Thursday's drift lower had already begun pricing the Brent-compression scenario; the Saturday Iran statement and Sunday CENTCOM denial together suggest the physical-curve tape may reprice in either direction Monday depending on observable shipping data. Per Reuters coverage cited via the data drop's headline run, President Trump reportedly stated Saturday that there would be no toll on the strait unless the U.S. imposes one.

The physical world matters.

PER AL JAZEERA, NBC NEWS, AND PBS COVERAGE ACROSS THE WEEKEND, THE ISRAEL-HEZBOLLAH CEASEFIRE THAT REPORTEDLY RENEWED FRIDAY HAS REPORTEDLY BEEN TESTED BY BOTH SIDES — PER NBC, AN OFFICIAL HEZBOLLAH SOURCE REPORTEDLY INDICATED THE GROUP WOULD ABIDE BY THE CEASEFIRE WHILE CITING CONTINUED ISRAELI MOVEMENT INTO LEBANESE TERRITORY, WHILE THE ISRAELI MILITARY REPORTEDLY SAID IT HAD CONDUCTED MORE THAN 150 STRIKES IN LEBANON SINCE SATURDAY MIDNIGHT AND HEZBOLLAH REPORTEDLY LAUNCHED MORE THAN 50 PROJECTILES — PER AL JAZEERA COVERAGE, A HEZBOLLAH REPRESENTATIVE REPORTEDLY STATED SATURDAY THAT A CEASEFIRE WHILE ISRAELI FORCES REMAIN IN LEBANESE TERRITORY WOULD BE MEANINGLESS, TIGHTENING THE LINKAGE BETWEEN THE LEBANON THEATER AND THE BÜRGENSTOCK OUTCOME

Thursday's defense drawdown per the data drop — LMT ↓4.01% to \$510.95 and GD ↓3.53% to \$350.01 — reflected the peace-deal reciprocal trade rather than a thesis change. The weekend reports of continued ceasefire stress reportedly reintroduce the principal spillover variable cited as the trigger for the Friday Bürgenstock postponement per Times of Israel coverage. For the position-symmetric framework Carson has anchored, the operative read is that the supplemental-funding pipeline reportedly continues per WSJ via Reuters (the Pentagon reportedly told lawmakers it needs approximately

\$80 billion to cover Iran-war-related and other bills per Deputy Defense Secretary Stephen Feinberg), while the deal-execution path remains contested rather than linear. The Sunday outcome from Bürgenstock now carries both the implementation-talks scope and the Lebanon-spillover variable into a single inflection point for the Monday tape. **The physical world matters.**

HORMUZ SATURDAY	Iran joint military command reportedly declared closure per Reuters/MEHR
CENTCOM RESPONSE	"Iran does not control the Strait" per Reuters citing Capt. Hawkins
VANCE ARRIVAL	Sunday early per Reuters/ABC · joined Witkoff & Kushner at Bürgenstock
IRAN DELEGATION	Landed Zurich Sat per Reuters · Foreign Minister Aragchi & banking/oil officials
ISRAEL-HEZBOLLAH	Both sides reportedly contesting truce per NBC/ Al Jazeera Sat reporting
TRUMP STATEMENT	Reportedly stated no Hormuz toll unless U.S. imposes one
PENTAGON SUPPLEMENTAL	~\$80B ask reportedly continues per WSJ via Reuters

On Our Radar

1. Week Ahead — May PCE Lands Thursday June 25 at 8:30 AM ET per the BEA Personal Income and Outlays Release

Calendar, the First Inflation Print of the Warsh Era After the June 17 Hawkish Dot-Plot Revision. Per the Bureau of Economic Analysis release schedule, the May 2026 read covering headline and core PCE prints next Thursday morning alongside the final Q1 2026 GDP estimate. Per Wells Fargo's economist preview cited in Kiplinger's week-ahead coverage, headline PCE is reportedly forecast at $\uparrow 0.5\%$ month-over-month (4.1% year-over-year) on energy-related costs, with core PCE reportedly forecast at $\uparrow 0.3\%$ month-over-month and a 3.3% – 3.4% year-over-year band. For FCI's rate-sensitive sleeves (TLT, the AI-infrastructure growth backbone, IBIT, ETHA), the print is the principal cross-asset variable into next week — given the dot-plot revision to 3.8% from 3.4% per the June 17 SEP, the framing weight on the trajectory has materially increased. *Avoid Erosion.*

2. Week Ahead Earnings — Micron (MU) Reports Wednesday June 24 After the Close per Multiple Previews, With FedEx (FDX) Tuesday June 23 After the Close per Kiplinger and MarketBeat.

Per TradingKey and Tickeron preview coverage, Micron analyst consensus is reportedly approximately $\$19.72$ – $\$19.82$ EPS on revenue of approximately $\$33.5$ – $\$34.8$ billion, with non-GAAP gross margin reportedly forecast near 81% ; per Tech Times coverage, Micron has reportedly disclosed that HBM capacity is sold out through 2026 and into early 2027. The print is the principal AI-infrastructure read for the cohort the chip rip Thursday lifted (CRDO, MRVL, TSM, QCOM, NXPI, AMD, LRCX per the data drop). Per MarketBeat and Barchart preview coverage, FedEx reports its Q4 fiscal 2026 quarter Tuesday and is reportedly expected to print approximately $\$5.96$ EPS on approximately $\$24$ billion revenue in its first quarter since the June 1 FedEx Freight spinoff; the read frames global goods flows into Thursday's PCE print. *Research Reveals Opportunities.*

3. The Sunday Bürgenstock Outcome Is the Principal Variable for the Monday Reopen, With the Saturday Iran Hormuz Statement and the CENTCOM Denial as

Secondary Inputs. Per Reuters, ABC, and Fox News coverage, Vice President Vance reportedly arrived in Switzerland early Sunday and is reportedly expected to join Witkoff and Kushner working through technical details, while Vance reportedly noted that discussions were “going well.” For FCI’s energy sleeve, the operative question Monday is whether the Iran Hormuz statement translates into observable shipping disruption (which would reprice Brent and reportedly carry DVN, CVX, OKE, VLO, CNX higher) or whether the Sunday talks produce sufficient framework progress for the Saturday statement to be read as posturing (which would reprice the AI-infrastructure cohort higher and the energy sleeve lower). The position-symmetric framework remains operative: the supplemental-funding pipeline reportedly carries LMT and GD through either path. *Think Like an Owner.*

4. Carson’s Active SPY \$645.80 Support Remains Materially Untouched Through the Closed Juneteenth

Window. Thursday’s S&P 500 proxy intraday range (\$743.86–\$748.23 per the data drop) carried well above Carson’s framework, leaving the level as the committee’s downside reference rather than an actionable near-term marker. The CNN Fear & Greed gauge reportedly sat at 37 (“Fear”) on the most recent June 19 read per CNN’s historical data feed (the data drop’s F&G fell back to the crypto index at 23 “Extreme Fear” per the workflow note), continuing to frame the chip-cohort recovery as occurring against cautious sentiment positioning rather than euphoric flow. Per public exchange feeds, Bitcoin reportedly traded near \$62.9K heading into Sunday, modestly below the recent trading range and reflecting the digital sleeve’s decoupling Thursday (IBIT ↓2.04% to \$35.62, ETHA ↓1.45% to \$12.88 per the data drop). The position-symmetric framework remains anchored on Carson’s level through the Sunday talks, the Saturday Hormuz statement, and the May PCE print Thursday. *Simplicity Over Complexity.*

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